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BLUEGRASS CAPITAL RESEARCH

TransMedics Group, Inc.

The Heart of Innovation: TransMedics

With momentum building from their National OCS Program (NOP), TransMedics is tapping into the untapped organ transplant market. The company's rapid progress, along with the push for the Liver Organ Care System and the already quick progress in next-gen OCS technology, means it plans to more than triple its revenue within the next few years as it advances to OCS Gen 3 trials in 2032. Today, TransMedics stands as the only logistics and preservation provider, with expanding hospital integration and an increasing aviation fleet. The company is being driven by sequential margin improvement and long-term growth potential. We initiate $TMDX as BUY with a price target of $149, reflecting our confidence in their sustained growth trajectory.

Thesis Point 1: Traditionally, 50% of hearts are discarded because they become damaged during transportation to and from the patient, due to cold injury and inefficient perfusion. The OCS technology significantly extends the longevity of an ex-vivo heart by more than double that of traditional methods, dramatically reducing the number of discarded organs and increasing the number of patient lives saved. While Transmedics initially focused on heart OCS, they have shifted their approach to Liver OCS, which is their fastest-growing segment and most significant revenue driver. This technological advancement increases the number of successful transplants, reduces waitlists for patients, and increases hospitals' motivation to adopt OCS technology. By introducing this technology, the capacity of transplant recipients surpasses 50%, providing more opportunities than a previously constrained market and ultimately promoting OCS as the new standard of care in the United States.

Thesis Point 2: Unlike competitors such as OrganOx, which sell only preservation devices, TransMedics Group is FAA-certified for end-to-end organ retrieval, transportation, perfusion, and monitoring. Their fleet of 21 aircraft provides seamless, efficient transit, covering 79% of all aviation transportation in the United States, and is expected to grow exponentially as they plan to expand their fleet. Organ Procurement Organizations (OPOs) and Hospitals prefer outsourcing transportation to third parties, such as TransMedics, because it prioritizes procedures, knowing that TransMedics handles all high-risk transportation. TransMedics presents a strong opportunity, given its wide moat, considering the complexity of navigating FDA regulations and approvals in a highly regulated environment.

Thesis Point 3: With TransMedics' outlook to perform 10,000 NOP procedures annually by 2028 and 30,000 NOP by 2032, they have the potential to more than double their addressable market through advancements into Outside United States (OUS) countries, specifically starting in Europe. Gross margins are expected to remain ~60%, and operating margins are expected to scale closer to ~30% by 2028 as advancements in logistics and OCS efficiency improve. TransMedics is currently in the trial phases of its next-generation OCS technology, and approvals are expected to provide upside catalysts that contribute to the company's success and facilitate its implementation in overseas countries, thereby expanding into new markets as best described as “a very unique business providing unparalleled life-saving solutions in a huge, untapped market.” (Waleed Hassanein, President and CEO, TransMedics, 2025 Q2 Earnings Call)

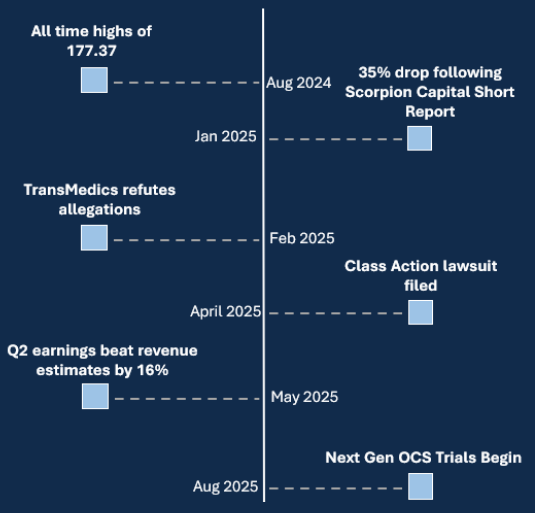
Company Overview: TransMedics Group is a medical technology company dedicated to redefining the standards for organ transplantation and logistics. Their solution is a device called the Organ Care System (OCS), which preserves the heart, liver, or lungs in a fully automated machine that maintains a warm environment and continuous blood flow throughout the organs. This approach differs from traditional transportation methods, such as ice, which rely on external cooling. The company has expanded its revenue to a full-service model, including the National OCS Program (NOP). NOP is a complete end-to-end service in which TransMedics retrieves the organ, provides perfusion, and logistics. Their NOP logistics have expanded into aviation, with the intention of significantly increasing their aircraft fleet. The OCS is the only FDA-approved, portable, multi-organ, warm perfusion platform, setting TransMedics apart.

TICKER:	$TMDX
RATING:	BUY
PRICE:	$111.71
PRICE TARGET:	$150
MARKET CAP:	$4.5B
52-W RANGE:	$55 - $145.50
P/E:	52.7x
IMPLIED UPSIDE:	33.71%

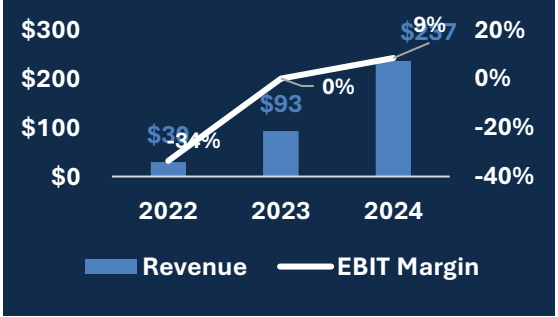
1 Year Price History



Recent Events Timeline



EBIT Margin with Annual Revenue



Risk 1 The Company is also currently facing an ongoing class action lawsuit that alleges the use of fraudulent and coercive business practices to generate faulty revenue and business, unsafe handling and practices of organs and procedures, and heightened regulatory risk due to a lack of oversight and compliance with regulations. While these claims raise short-term reputation risks, TransMedics publicly denied all of the allegations and has continued to cooperate with the FDA Class III safety standards and regulations. Regardless, the lawsuit may foster investor uncertainty or volatility in the company.

Risk 2 TransMedics, operating in a high-stakes industry, is under Class III FDA oversight for its Organ Care System. Given the tight regulations, any delays in FDA approval, regulatory changes, or additional data requests can impose unexpected setbacks for the company and the progression of its products. Incompliance with FDA regulations can hinder investor sentiment or hospital adoption.

Catalysts TransMedics' management plans to introduce kidney OCS by 2027 are an opportunity for the company to expand into revenue segments beyond solely heart, liver, and lungs. This expansion will lead to significant revenue growth, as they plan to achieve 20,000 to 30,000 transplants over the next three to five years after launching kidney OCS. This opportunity will further improve TransMedics' total addressable market, expand revenue opportunities, and diversify product segment risks.

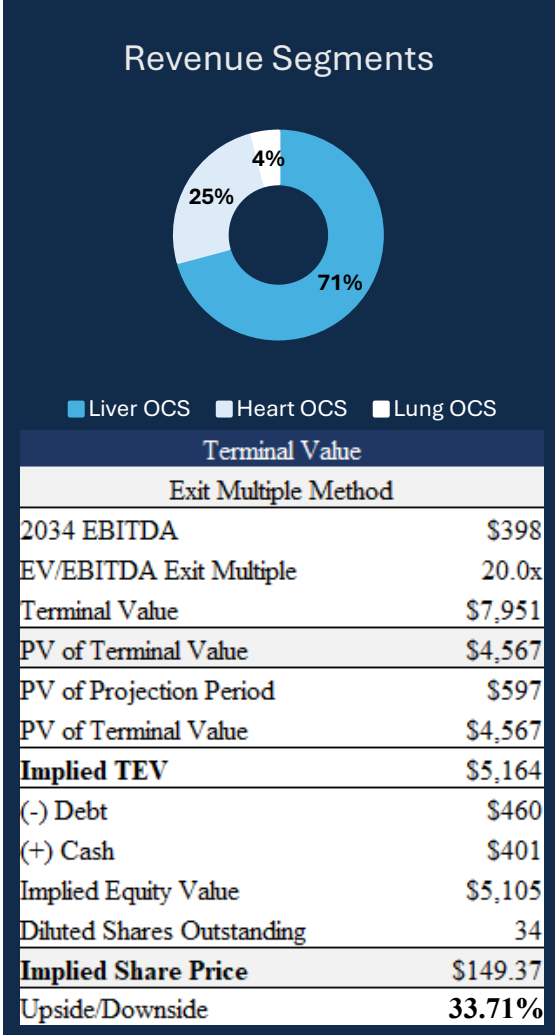
Valuation – PT $150

DCF Analysis ($mm)	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030
	12/31/2024	12/31/2025	12/31/2026	12/31/2027	12/30/2028	12/30/2029	12/31/2030
Revenue	437	604	814	1,051	1,292	1,506	1,657
Revenue Growth	*85%*	*38%*	*35%*	*29%*	*23%*	*17%*	*10%*
Liver OCS	310	453	634	840	1,050	1,234	1,358
Heart OCS	110	131	157	185	212	239	263
Lung OCS	18	20	23	26	29	33	36
EBIT	37	100	122	171	226	282	331
EBIT Margin	*9%*	*17%*	*15%*	*16%*	*18%*	*19%*	*20%*
Tax Expense	0	0	5	14	27	45	66
Effective Tax Rate	*1%*	*0%*	*4%*	*8%*	*12%*	*16%*	*20%*
NOPAT	37.18	100.00	117.27	157.15	199.01	237.18	265.04
D&A	20	35	49	58	65	68	66
Capex	130	180	57	71	84	94	99
Changes in NWC	40	(35)	(41)	(26)	0	38	83
UFCF	(113)	(10)	150	170	180	173	149
PV of FCF		(10)	138	140	131	112	86

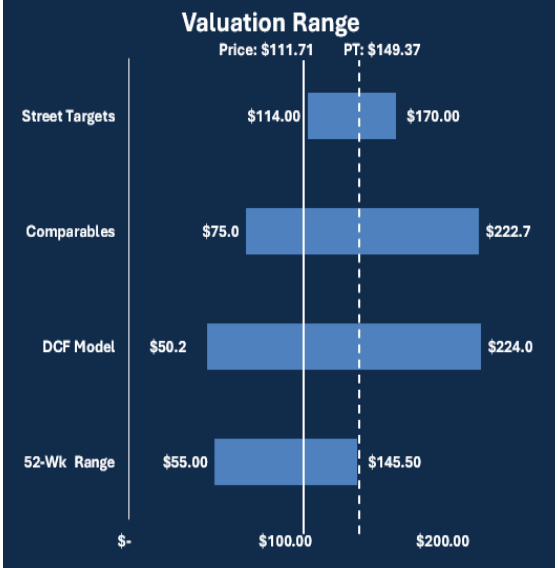
Our base DCF case assumes a 20.0x exit multiple supported by sustained innovation and hospital adoption as TransMedics expands its National OCS Program. Revenue is projected to grow to $604 million in 2025, followed by $1.87 billion in FY2030, representing a 22% CAGR, primarily driven by the Liver OCS segment, with slowly growing contributions from heart and lung OCS. TMDX notched an EBIT margin of 16.9% in recent quarters, and we expect margins to further accelerate as operating leverage kicks in.

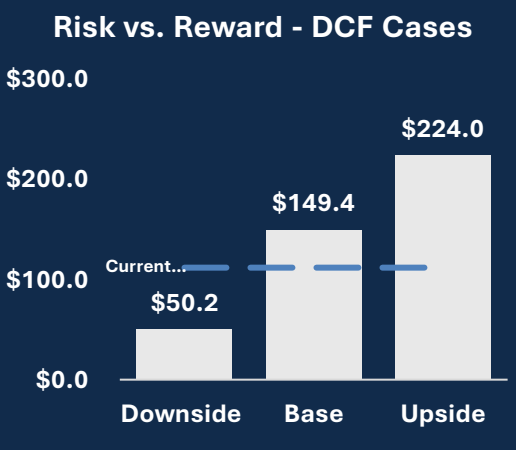
Conclusion

We rate TransMedics a BUY, given the consistent strength of their OCS platform and NOP. The company's expanding transplant network into OUS countries, next-gen OCS technology, and improving margins set TransMedics up as a long-term opportunity for sustained growth. While regulatory risks remain, we are confident in the strength of this company. We initiate a BUY rating for $TMDX with a price target of $150, or 33.71% upside.



Terminal Value	
Exit Multiple Method	
2034 EBITDA	$398
EV/EBITDA Exit Multiple	20.0x
Terminal Value	$7,951
PV of Terminal Value	$4,567
PV of Projection Period	$597
PV of Terminal Value	$4,567
Implied TEV	$5,164
(-) Debt	$460
(+) Cash	$401
Implied Equity Value	$5,105
Diluted Shares Outstanding	34
Implied Share Price	$149.37
Upside/Downside	**33.71%**





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Income Statement ($mm)	2024A	2025E	2026E	2027E	2028E	CAGR%
Revenue	437	604	875	1,236	1,698	40.4%
EBITDA	57	135	227	331	467	69.0%
EBIT	37	100	175	263	382	78.7%
NOPAT	37	100	131	197	287	66.6%

Margin & Growth Data	2024A	2025E	2026E	2027E	2028E	AVG%
EBITDA Margin	13.1%	22.4%	26.0%	26.8%	27.5%	23.1%
EBIT Margin	8.6%	16.6%	20.0%	21.3%	22.5%	17.8%
Revenue Growth	84.7%	38.2%	44.8%	41.3%	37.4%	49.3%
EBIT Growth	7631.1%	166.7%	75.0%	50.1%	45.5%	1593.7%

Valuation Metrics	2024A	2025E	2026E	2027E	2028E	AVG%
P/FCF	-39.1x	-442.2x	42.1x	27.7x	18.8x	-78.5x
EV/Sales	10.4x	7.5x	5.2x	3.7x	2.7x	5.9x
EV/EBITDA	79.3x	33.6x	20.0x	13.7x	9.7x	31.3x
FCF Yield	-2.6%	-0.2%	2.4%	3.6%	5.3%	1.7%

Comparable Companies

$mm

Ticker	Mkt Cap	EV	P/E LTM	Revenue LTM	EBITDA LTM
Becton, Dickinson and Company	$53,610	$70,500	35.0x	$21,380	$6,400
GE HealthCare Technologies	$35,700	$42,600	16.2x	$19,970	$3,330
Getinge AB	$6,200	$7,000	29.6x	$3	$500
Medtronic plc	$120,000	$141,000	25.8x	$34,700	$9,900
🏛 **TransMedics Group, Inc. (XNAS:TMDX)**	$4,300	$4,500	52.0x	$5,300	$570

Ticker	LTM EV/EBITDA	Gross Margin	EBITDA Margin	EBIT Margin	1 Yr Rev Growth Rate LF
Becton, Dickinson and Company	11.0x	47.0%	27.0%	16.0%	10.0%
GE HealthCare Technologies	12.8x	41.6%	17.7%	16.3%	3.0%
Getinge AB	14.0x	47.0%	15.0%	12.0%	9.2%
Medtronic plc	14.2x	65.0%	28.0%	19.0%	3.6%
🏛 **TransMedics Group, Inc. (XNAS:TMDX)**	7.9x	59.4%	19.8%	8.5%	82.0%

High	14.24x	65.0%	28.0%	19.0%	82.0%
75th Percentile	14.00x	59.4%	27.0%	16.3%	10.0%
Average	11.99x	52.0%	21.5%	14.4%	21.6%
Median	12.79x	47.0%	0.0%	16.0%	9.2%
25th Percentile	11.02x	47.0%	17.7%	12.0%	3.6%
Low	7.89x	41.6%	15.0%	8.5%	3.0%

🏛 TransMedics Group, Inc. (XNAS:TMDX)		
Implied Enterprise Value (25th Percentile)	$	6,279
Implied Enterprise Value (Median)	**$**	**7,292**
Implied Enterprise Value (75th Percentile)	$	7,980

Implied Share Price (25th Percentile)	$	181.99
Implied Share Price (Median)	**$**	**211.63**
Implied Share Price (75th Percentile)	$	231.77

Weighted Average Cost of Capital ($mm)	
Market Risk Premium	4.33%
Beta	2.04
Risk Free Rate	4.39%
Cost of Equity	11.99%
Weighted Average Cost of Debt	7.00%
Tax Rate	4.00%
Cost of Debt	0.62%
Total Equity	$4,495
Total Debt	$59
Equity/Total Capitalization	90.72%
Debt/Total Capitalization	9.28%
WACC	12.61%

Downside Case: Assumes an 18.0x EBITDA multiple, with slower OCS and NOP adoption leading to a ~10% CAGR and EBIT margins around 10% by FY2030.

Upside Case: Assumes a 22.0x EBITDA multiple, driven by faster adoption and international expansion supporting a ~25% CAGR and EBIT margins near 22% by FY2030.

Disclosures and Ratings: Bluegrass Capital Research does not hold any professional relationships with the securities mentioned in this report. Our ratings are defined as follows: **Buy** (expected to outperform the market), **Hold** (expected to perform in line with the market), and **Sell** (expected to underperform the market), typically over a 12-month horizon. This report is for educational and informational purposes only and should not be considered as financial advice.